Executive Summary & Recommendations

Retail Customer Retention Analytics – ADIDAS

This report summarizes key insights and strategic recommendations from Adidas' retail customer retention analysis. Using Power BI dashboards, the analysis connects demographics, transactions, loyalty, and churn data to identify customer value drivers and retention opportunities.

Key Performance Indicators

KPI	Results
Total Customers	300
Churn Rate	27.33%
Repeat Rate	85.33%
Avg. CLV	126000

Key Insights

1. Churn is concentrated among loyal customer with high income, particularly making online purchase.
2. Customer in the age group of 25-34 tends to purchase more.
3. Footwears category is purchased more by loyal customer, also customers prefer to buy from franchise.
4. Only half of the loyalty members redeem earned points -engagement opportunity.
5. Customers in base tier shows higher CLV and lower churn.

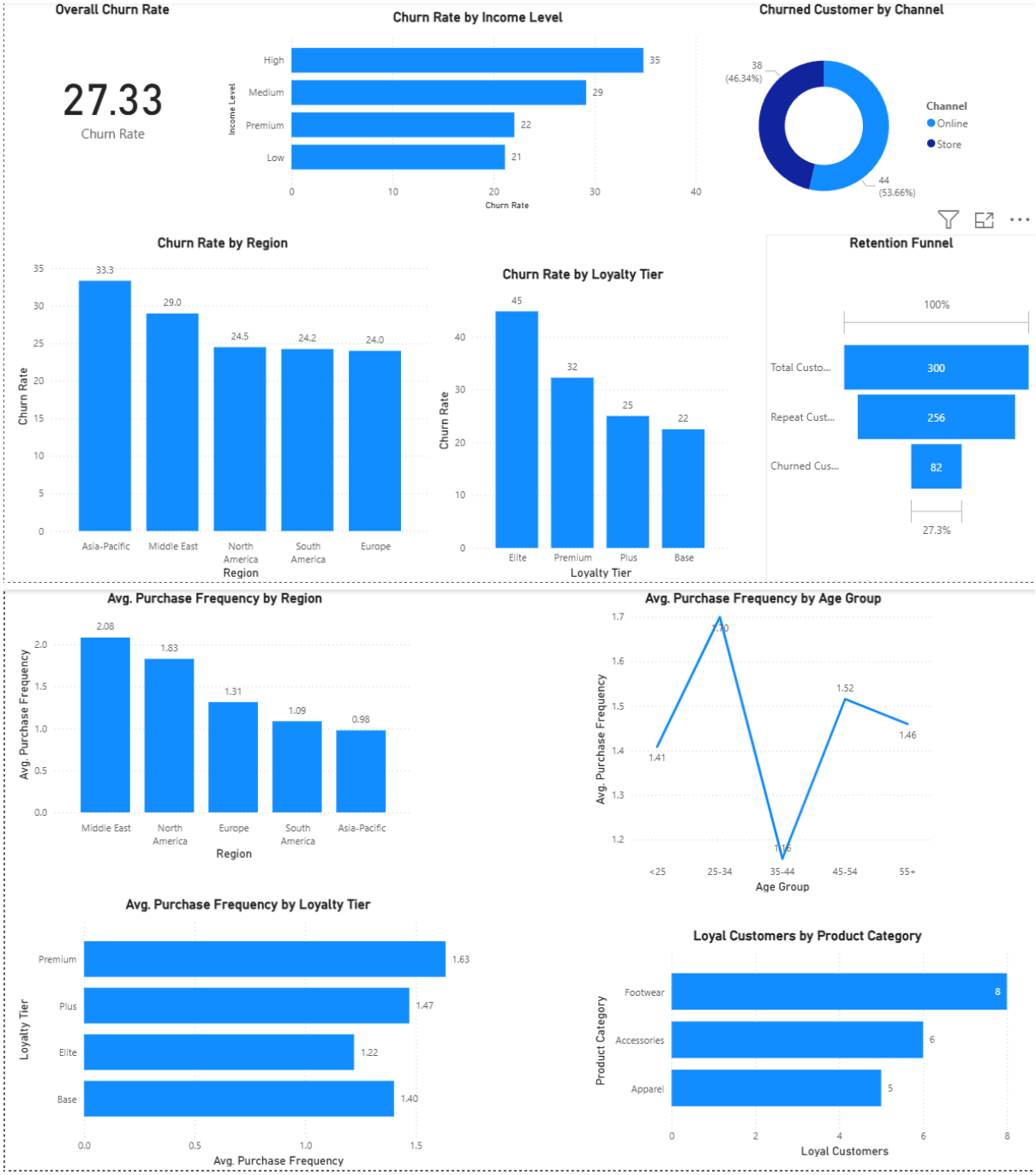
Strategic Recommendations

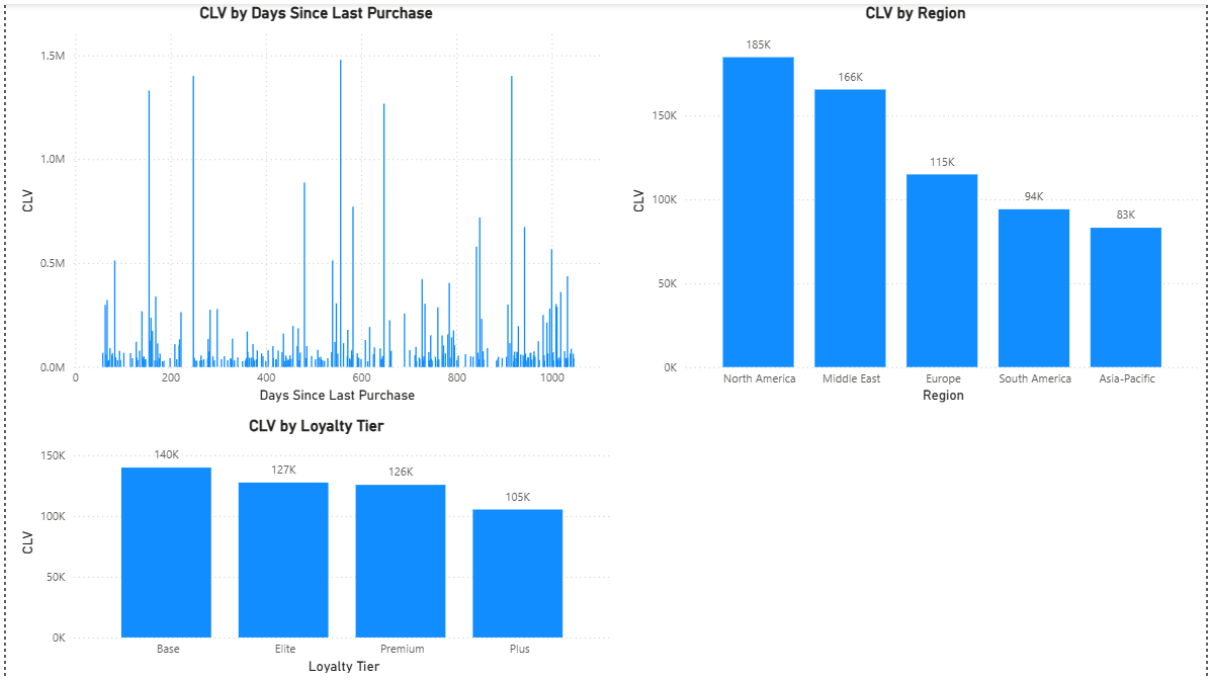
Area	Recommendation
Churn	Deploy predictive churn model
Loyalty Program	Enhance tier-based reward
Promotions	Personalise offers for mid-tier & at-risk customer
Customer Value	Create VIP club for top 10% CLV customers
Stores & Channels	Replicate Franchise experience in store & outlets

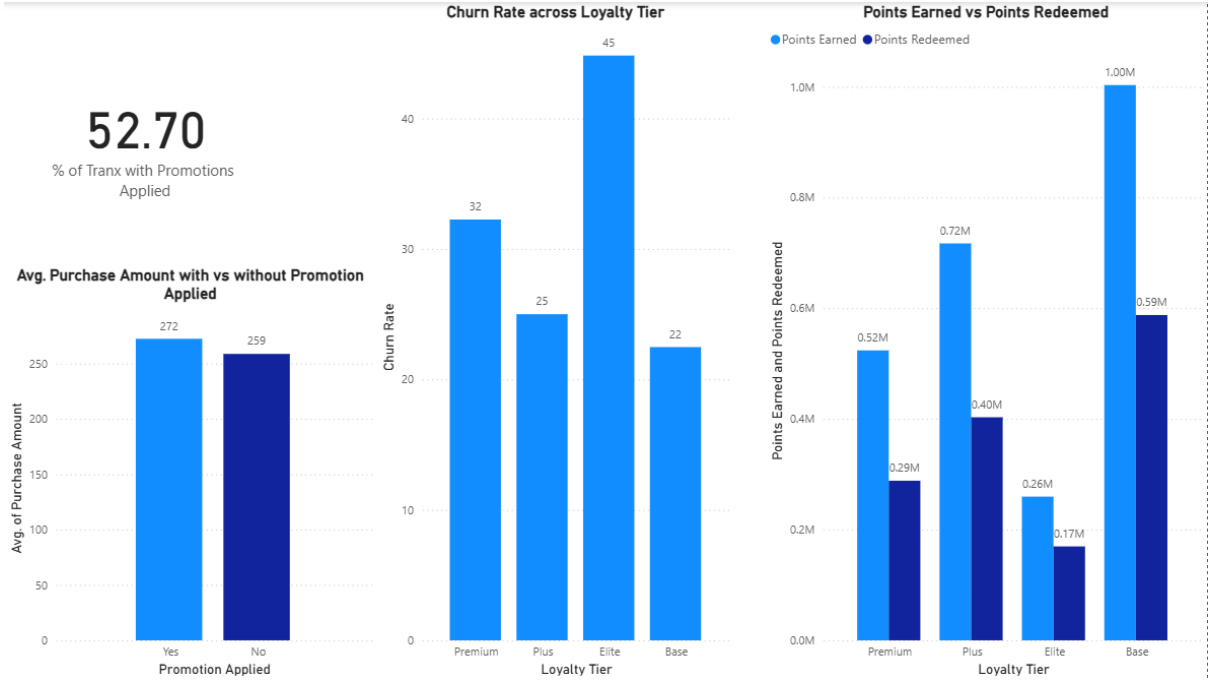
Conclusion

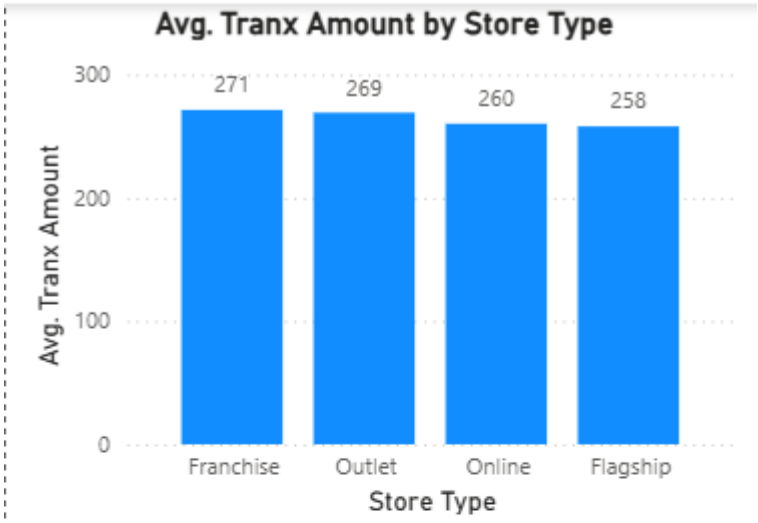
The analysis shows that customer retention is most influenced by loyalty participation, purchase frequency, and franchise experience. By strengthening loyalty engagement, targeting at-risk segments with personalized promotions, and standardizing the franchise experience across channels, Adidas can significantly increase Customer Lifetime Value (CLV) and reduce churn. Implementing predictive analytics and ongoing monitoring will ensure long-term retention success.

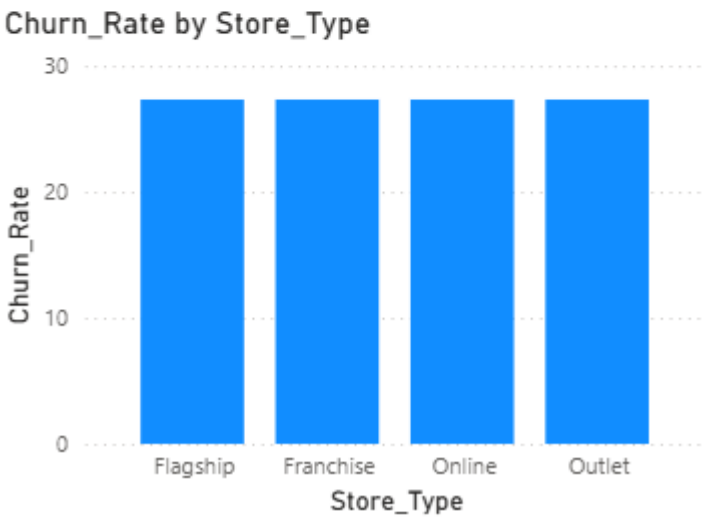
Dashboards with Screenshots




CLV by Days Since Last Purchase
CLV
1.5M
1.0M
0.5M
0.0M
0
200
400
600
800
1000
Days Since Last Purchase
CLV by Region
185K
166K
115K
94K
83K
150K
100K
50K
0K
North America
Middle East
Europe
South America
Asia-Pacific
Region
CLV by Loyalty Tier
140K
127K
126K
105K
Base
Elite
Premium
Plus
Loyalty Tier


52.70
% of Tranx with Promotions Applied
Avg. Purchase Amount with vs without Promotion Applied
272
259
Avg. of Purchase Amount
Yes
No
Promotion Applied
Churn Rate across Loyalty Tier
45
32
25
22
Churn Rate
Premium
Plus
Elite
Base
Loyalty Tier
Points Earned vs Points Redeemed
Points Earned
Points Redeemed
1.00M
0.72M
0.52M
0.59M
0.40M
0.29M
0.26M
0.17M
Points Earned and Points Redeemed
Premium
Plus
Elite
Base
Loyalty Tier





27.33
Churn_Rate

126K
Average of CLV

85.33
Repeat_Rate

Calculations

1. Total_Customers = DISTINCTCOUNT('Customer Demographics'[Customer_ID])
2. Churned_Customer = CALCULATE(DISTINCTCOUNT('Customer Demographics'[Customer_ID]),'Churn Labelled Customers'[Churn_Flag]="Yes")
3. Churn_Rate = DIVIDE('Churn Labelled Customers'[Churned_Customer],'Churn Labelled Customers'[Total_Customers],0)*100
4. Repeat_Customer = CALCULATE(DISTINCTCOUNT('Customer Transactions'[Customer_ID]),FILTER(VALUES('Customer Transactions'[Customer_ID]),CALCULATE(COUNT('Customer Transactions'[Transaction_ID]))>1))
5. Repeat_Rate = DIVIDE('Churn Labelled Customers'[Repeat_Customer],'Churn Labelled Customers'[Total_Customers],0)*100
6. Days_Since_Last_Purchasee = DATEDIFF('Churn Labelled Customers'[Last_Purchase_Date], TODAY(), DAY)
7. Age_Group = SWITCH(TRUE(), 'Customer Demographics'[Age] < 25, 'Customer Demographics'[Age] <= 34, "25-34",'Customer Demographics'[Age] <= 44, "35-44",'Customer Demographics'[Age] <= 54, "45-54", "55+")
8. CLV = DIVIDE(SUM('Customer Transactions'[Amount]),[Membership_Duration])
9. CLV_Tier = VAR clv =COUNTROWS(RELATEDTABLE('Customer Demographics'))RETURN SWITCH(TRUE(), 'Customer Demographics'[CLV] <= 30000, "Low", 'Customer Demographics'[CLV] <= 80000, "Mid", "High")
10. Loyal_Customers = CALCULATE(COUNTROWS('Customer Transactions'), 'Customer Demographics'[Purchase_Tier] = "High")
11. Purchase_Tier = SWITCH(TRUE(), 'Customer Demographics'[Purchase_Count] <= 3, "Low", 'Customer Demographics'[Purchase_Count] <= 8, "Mid", "High")
12. Purchases_Per_Year = VAR yrs = [Membership_Duration] VAR cnt = [Purchase_Count] RETURN IF(yrs > 0, DIVIDE(cnt, yrs), cnt) // if 0 yrs, fallback to raw count
13. Avg_With_Promo = CALCULATE(AVERAGE('Customer Transactions'[Amount]), 'Customer Transactions'[Promotion_Applied] = "Yes")
14. Avg_Without_Promo = CALCULATE(AVERAGE('Customer Transactions'[Amount]), 'Customer Transactions'[Promotion_Applied] = "No")
15. Promo_Perc = DIVIDE([Promo_Trans], COUNTROWS('Customer Transactions')) * 100
16. Promo_Trans = CALCULATE(COUNTROWS('Customer Transactions'), 'Customer Transactions'[Promotion_Applied] = "Yes")
17. Membership duration in years (approx) = Number.RoundDown(Duration.TotalDays(DateTime.LocalNow() - DateTime.From([Membership_Since])) / 365, 2)
18. Year= Date.Year([Transaction_Date])

19. Month name (short)= Date.ToText([Transaction_Date], "MMM")

Video Link : https://1drv.ms/v/c/d7dd30bfddba3699/EdqjAJ7l16pPnwPgv2qa-9MBila8MDRFtFZGqIJq9T9tBA?e=wZVQBL